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Have you used Artificial Intelligence (AI) in any part of this assignment?	No
If you have ticked "Yes" above, please briefly outline below which AI tool you have used, and what you have used it for. Please note, you must also reference the use of generative AI correctly within your assessment, in line with the guidance provided in your student handbook.	

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Oracle's AI Infrastructure Pivot: Rebirth of a Tech Giant or a High-Stakes Strategic Gamble?

1. Executive Summary

Oracle has undertaken one of the boldest strategic transformations among legacy technology firms, shifting from a mature, cash-generative enterprise software business towards a capital-intensive provider of AI-driven cloud infrastructure. This strategic pivot has produced extreme market reactions, including a sharp share price rerating followed by subsequent decreases later on as the investors reassessed the financial sustainability of Oracle's new growth narrative. This paper evaluates whether Oracle's transformation constitutes a genuine rebirth or a high-stakes strategic gamble by applying the five-factor DuPont framework over FY2021-FY2025.

The financial analysis shows a performance tale of a divided story. Oracle returned to a sustainable level of profitability, with an operating profit margin improving out of a low of 25.7% in FY2022 to 30.8% in FY2025 due to better scale and price power in cloud and AI services. This was however overridden by a marked reduction in the operating asset turnover as net operating assets grew at a fast pace. Consequently, the ratio of the return on capital employed (ROCE) was steadily falling since it was 25.3% in FY2021 and 17.2% in FY2025, indicating the declining capital productivity due to the up-front infrastructure investments.

Despite this decline in operating efficiency, reported return on equity (ROE) showed volatility of the highest order, making a peak of 546 percent in FY2023. As shown by the DuPont decomposition, this was far overpowered by effects of financial leverage created by a volatile and even negative equity base, as opposed to a sustainable operating performance. The burden of interest was reduced to a modest scale with rise in debt and tax burden was on a fairly steady scale, which shows that leverage and not the improvement in the running of the operations were the key drivers of ROE.

The final verdict is therefore clear: while Oracle's strategy has restored growth momentum and strategic relevance, shareholder returns over the years are primarily leverage-driven. As a result, Oracle's AI infrastructure pivot is best classified as a high-stakes strategic gamble, not yet a complete rebirth.

2. Introduction and Strategic Overview

For much of the past decade, Oracle Corporation was widely characterized as a legacy technology incumbent: an enterprise database powerhouse with high margins and cash flow, but with comparatively slow organic growth and relatively minimal coverage of the most vibrant segments of the technology market. The conventional on-premise Oracle licensing and maintenance model provided stability but was becoming increasingly seemingly out of sync with an industry transforming at an accelerating structural pace due to cloud computing and, more recently, artificial intelligence (AI).

This perception began to shift as AI became a key demand force throughout the technology value chain. The high volume of AI workloads demands large scale and low latency computing infrastructures turning cloud service to a software intensive service to a capital intensive infrastructure enterprise. In response, Oracle developed a strategy that was based on Oracle Cloud Infrastructure (OCI), defining itself not as an application or database vendor, but as an underpinning infrastructure collaborator in the implementation of AI. This repositioning was facilitated by high profile alliances, multi-year contracts, which put Oracle at the centre of the AI ecosystem, as part of the hyperscale's, chip designers, and enterprise customers.

The market reaction to this strategic pivot was initially empathetic. Oracle underwent an acute re-rating of the share-price as visioners inferred its development and business-level applicability in the AI age. This optimism was however volatile. Further downward revision was indicative of increasing questioning of the financial consequences of the strategy of the Oracle, including the magnitude of capital expenditure, increasing leverage, and the sustainability of returns in a more asset-intensive operating model.

Within the broader technology value change, Oracle now occupies a hybrid position. It has not experienced consumer scale and it is unlike traditional software companies that have not taken an infrastructure heavy investment, unlike pure-play hyperscale's. This is a risky and an opportune positioning. As the structural growth in AI demand is favourable to Oracle, the success of this company lies in hitting adequate utilisation of assets introduced in the recent past and translating the strategic relevance into sustainable operating returns.

Against this backdrop, the main question is not whether Oracle's vision is ambitious, but whether it is economically viable. The analysis below uses the DuPont model to determine whether the transformation at Oracle has been converted to sustainable value creation or the recent performance is a case of leverage-based, high-risk transition.

3. Main Analysis: DuPont Model of ROE

To evaluate whether Oracle's strategic pivot towards AI-driven cloud infrastructure has translated into sustainable value creation, this section applies the five-factor DuPont model as primary analytical framework. This approach decomposes shareholder returns operating performance, asset efficiency, financing costs, taxation, and the leverage effect, allowing a clear distinction between value created through operations and value amplified through financial structure.

$$ROE = \text{Operating profit margin} \times \text{Operating assets turnover} \times \text{Interest burden} \times \text{Tax burden} \times \text{Financial leverage}$$

All the indicators based on a balance sheet are determined with end balance sheet values and all ratios are rounded to two digits which are shown in the Appendix.

3.1. Operating Profit Margin: Recovery in Core Profitability

Oracle's operating profit margin depicted some definite recovery over the five year period. After the drastic drop in 37.6% in FY2021 to 25.7% in FY2022, the margins have stably increased to 30.8% in FY2025. Such pattern is in line with a firm facing strategic transition: compression in the margins at initial stage due to investment, restructuring, and cost of scale, and then recovering partially as new businesses lines gain maturity (Oracle, 2025).

Strategically, this recovery supports the narrative that Oracle's cloud and AI offerings are gaining traction. The better margins imply the enhancement of pricing power, economies of scale, and a gradual transition to the high-value services. Nevertheless, as much as the recovery of margin is a good indication, the DuPont framework advises against the use of margin recovery as a single indicator. Even the improvement of the margin does not always imply the creation of value as far as it is done along with the unproportional growth in capital.

3.2. Operating Asset Turnover: Rising Capital Intensity

$$\text{Operating asset turnover} = \frac{\text{Sales}}{\text{Net operating assets}}$$

Operating asset turnover deteriorated materially over the period, declining from 0.87 in FY2022 to 0.56 in FY2025. This is an indication of rapid expansion in the operating assets to serve AI-ready cloud infrastructure, such as data centres and related assets.

This decline is economically intuitive in line with the strategic repositioning of Oracle. Business models that are infrastructure-heavy have a huge initial investment and the revenues are only scaled as the utilisation level is achieved. But as far as performance management is

concerned, decreasing asset turnover is an indication of an increase in capital intensity and a higher degree of utilisation risk. A dollar of operating assets is making far less revenue than it used to do in previous years, and increasing the level of breakeven to make profits.

The operational asset turnover deterioration thus constitutes a business model structural change in the business of Oracle. Although this can be supported by the prospects of long-term growth, it makes a significant change in the risk profile of the firm and puts the future implementation under greater pressure.

3.3. ROCE: Declining Capital Productivity

$$\text{Operating asset turnover} = \frac{\text{Sales}}{\text{Net operating assets}}$$

The relationship between operating profit margin and operating asset turnover is summed up in the ratio of the return on capital employed (ROCE). It is noteworthy that Oracle has experienced a decrease in ROCE over the years since it was 25.3% in FY2021, and as of FY2025, it has decreased to 17.2%.

This is one of the most significant lessons of the DuPont analysis. It shows that the advancement in operating profitability has been compensated more by the booming increase in capital used. That is, Oracle is making bigger profit off its revenues at the expense of making smaller profits off each unit of operating capital.

Strategically, a fall in ROCE shows that the AI infrastructure strategy of Oracle has not been able to show the operating efficiency that is proportional to its size. In some cases, ROCE depreciation might be short-term due to an investment period, but that has remained over years, which points to the implementation problem of the company. The operating performance of Oracle is still not capital-efficient when compared to its legacy model until the extent of utilisation is improved substantially.

3.4. Interest Burden: Emerging Financing Pressure

Interest burden is:

$$\frac{PBT}{EBIT} = \frac{EBIT - \text{net finance expenses}}{EBIT} = 1 - \frac{\text{Net finance expenses}}{EBIT}$$

The interest coverage reduced to 80.1% in FY2025 compared with 85.5% in FY2021, which indicates that the increasing proportion of operating income is used up in financing costs. This reflects Oracle's increased reliance on debt to fund capital expenditure, with debt liabilities exceeding \$92bn by FY2025 (Oracle, 2025).

Although the decline is not yet drastic, it refers to the growing sensitivity of finances. Infrastructure investments involve prolonged payback periods and binding financing implication, that is, interest expenditure should be reached irrespective of the demand status. The deterioration of interest load thus increases the downside risk in case of operating performance that is below expectations. This trend, in the DuPont terms, validates the fact that the strategic ambition of Oracle has been accompanied by a rise in its financial risk.

3.5. Tax Burden: Limited Influence on Performance

Tax burden is:

$$\frac{\text{Net profit}}{\text{PBT}} = \frac{\text{PBT} - \text{taxation}}{\text{PBT}} = 1 - \frac{\text{taxation}}{\text{PBT}}$$

Oracle's tax burden remained broadly stable across the period, fluctuating within a relatively narrow range aside from exceptional movements. This stability reflected that taxation did not play a decisive role in moulding ROE outcomes.

The DuPont decomposition therefore proves that operating efficiency, asset intensity and leverage, as opposed to tax optimisation were the overwhelming causes of changes in shareholder returns. As such, the issue of tax burden should rightly be considered as secondary factor in the general analysis.

3.6. Financial Leverage: Amplifying Returns and Risk

$$\text{Financial leverage} = \frac{\text{Capital Employed}}{\text{Equity}}$$

Financial leverage is extremely volatile throughout the period, rising to 52.9 in FY2023 and turning negative in FY2022 due to negative equity, before stabilizing at 4.9 in FY2025 following equity recovery. These oscillations form the foundation of ROE behaviour of Oracle.

There were extremely high ROE values such as 546.5 percent in FY2023 even though the ROCE has decreased. The DuPont decomposition shows that the occurrence of these outcomes was more of the leverage effects as opposed to the operating performance. In case of small or negative equity, even small profits will result into extreme ROE values giving a false impression of performance strength.

From a strategic perspective, this leverage-based ROE volatility is a significant red flag. Although leverage may be used to enhance returns in favourable environments, leverage enhances negative returns and heightens financial vulnerability. The fact that the ROE of

Oracle is on the rise also could not be taken as the indication of the sustainable value creation without the improvements in ROCE.

3.7. DuPont Synthesis: What Really is Driving ROE?

Taken together, the five-factor DuPont analysis reveals a clear pattern. Oracle's recent performance growth is achieved due to recovery of margin and aggressive leverage but capital efficiency has worsened. Its operating profitability has been enhanced to the extent that it can absorb the magnitude of capital deployed. Asset turnover has fallen, ROCE has declined, and ROE has been sustained primarily through structure rather than operating strength.

This trend is the characteristic of the firm experiencing a high-risk strategic transition. The DuPont analysis shows that the change in Oracle has revived growth and relevance but has not yet delivered sustainable operating returns. The success of the strategy therefore depends on future utilization and capital discipline rather than current financial outcomes.

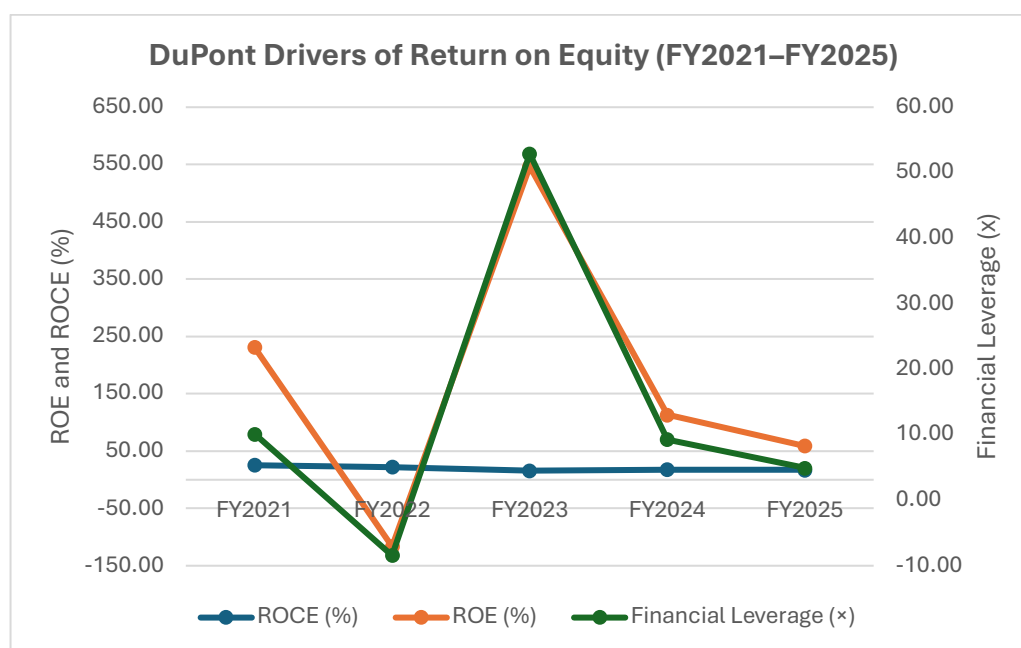


Figure 1: DuPont Drivers of ROE (FY2021-FY2025)

4. Discussion: Masterstroke or Gamble?

The DuPont analysis offers a stringent framework for assessing whether Oracle's AI infrastructure pivot represents a strategic masterstroke or a high-stakes gamble.

4.1. The Bull Case: A Strategic Rebirth in Motion

Bullishly, the changes at Oracle can be regarded as a necessary and coherent response to structural shifts in the technology value chain. The recovery in operating profit margin, from the FY2022 low to above 30% by FY2025, suggests improving scale efficiencies and pricing power as cloud and AI services mature. The revenue growth has been steady and long-term contracts give some form of visibility that favours economics of capital-intensive infrastructure.

According to proponents, the noticed decline in operating asset turnover and ROCE are merely a matter of timing and not a failure. Infrastructure capacity is usually constructed before demand, depressing capital efficiency in the short term but enabling strong returns once utilization rises. If utilization improves as anticipated, ROCE should recover, leverage should normalize as equity stabilizes, and the current phase of massive investment may appear as a disciplined transition that secured Oracle a durable position in AI ecosystem.

4.2. The Bear Case: A Leverage-Amplified Strategic Gamble

However, the DuPont evidence supports the bearish interpretation more than the bullish. Despite margin recovery, operating asset turnover reduced significantly and ROCE decreased continuously during the five-year period. This shows that capital productivity deteriorated since net operating assets increased at a higher rate than operating income. The DuPont decomposition also indicates that the largest positive and negative ROE results of Oracle were caused by financial leverage volatility due to an unstable equity base, not by operations improvement.

This raises a key concern: leverage has masked deteriorating capital efficiency rather than complementing it. While interest burden has weakened only modestly so far, the combination of high debt, long payback periods, and utilization risk introduces significant downside asymmetry. If demand growth slows, pricing weakens, or capacity remains unutilized, ROCE may remain depressed while fixed financing and depreciation costs continue to crumble value. In such cases, leverage ceases to amplify returns and instead magnifies losses for equity holders.

4.3. Synthesis: Weighing the Evidence

Weighing both perspectives, evidence suggests that the strategy of Oracle is strategically credible but financially weak. The firm has regained relevance and improved operating

profitability, but it has not yet demonstrated operating returns equivalent with its expanded capital base. DuPont analysis makes clear that recent ROE resilience has been achieved through financial structure rather than sustainable operating performance.

5. Concluding Remark

This analysis demonstrates that Oracle's AI infrastructure pivot has reestablished strategic relevance and operating profitability, but has not yet delivered sustainable capital efficiency. While margin recovery supports credibility of the strategic shift, DuPont proves that decreasing ROCE and leverage-driven ROE are the main peculiarities of recent performance. As a result, shareholder returns currently reflect financial structure more than operating strength. The strategy's success therefore depends on better utilization of capital-intensive assets and leverage stabilization. Until these criteria are met, Oracle's rebranding should be viewed as a high-stakes strategic gamble, rather than a complete rebirth.

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Appendices

Appendix 1: DuPont Analysis

5 Factor DuPont Model					
Year	2025	2024	2023	2022	2021
Operating Profit Margin	30.80%	28.99%	26.21%	25.74%	37.58%
Operating Asset Turnover	0.56	0.62	0.61	0.87	0.67
Interest Burden	80.10%	76.47%	69.70%	70.01%	85.45%
Tax Burden	87.87%	89.15%	93.17%	87.82%	105.75%
Financial Leverage	4.90	9.27	52.87	-8.44	10.10
ROE (Return on Equity)	59.34%	113.29%	546.47%	-116.45%	230.95%
ROCE (Return on Capital Employed)	17.20%	17.92%	15.91%	22.43%	25.31%

Appendix 2: Balance Sheet Items (in millions of USD)

Balance Sheet Items					
Year	2025	2024	2023	2022	2021
Cash and Cash Equivalents	10,786.00	10,454.00	9,765.00	21,383.00	30,098.00
Marketable Securities	417.00	207.00	422.00	519.00	16,456.00
Notes payable, current	7,271.00	10,605.00	4,061.00	3,749.00	8,250.00
Notes payable, non-current	85,297.00	76,264.00	86,420.00	72,110.00	75,995.00
Operating lease liabilities	11,536.00	6,255.00	-	-	-
Total Stockholder's Equity	20,969.00	9,239.00	1,556.00	(5,768.00)	5,952.00
Debt Liabilities	92,568.00	86,869.00	90,481.00	75,859.00	84,245.00
Net debt	81,782.00	76,415.00	80,716.00	54,476.00	54,147.00
Net Operating Assets	1,02,751.00	85,654.00	82,272.00	48,708.00	60,099.00
Total Assets	1,68,361.00	1,40,976.00	1,34,384.00	1,09,297.00	1,31,107.00
Financial Assets	11,203.00	10,661.00	10,187.00	21,902.00	46,554.00
Operating Assets	1,57,158.00	1,30,315.00	1,24,197.00	87,395.00	84,553.00
Total Liabilities	1,47,392.00	1,31,737.00	1,32,828.00	1,15,065.00	1,25,155.00
Financial Liabilities	1,04,104.00	93,124.00	90,481.00	75,859.00	84,245.00
Operating Liabilities	43,288.00	38,613.00	42,347.00	39,206.00	40,910.00
Capital Employed	1,02,751.00	85,654.00	82,272.00	48,708.00	60,099.00

Appendix 3: Income Statement Items (in millions of USD)

Income Statement Items					
Year	2025	2024	2023	2022	2021
Revenue	57,399.00	52,961.00	49,954.00	42,440.00	40,479.00
Operating Income	17,678.00	15,353.00	13,093.00	10,926.00	15,213.00
Operating Profit Margin	30.80%	28.99%	26.21%	25.74%	37.58%
Net Income	12,443.00	10,467.00	8,503.00	6,717.00	13,746.00
Net Profit Margin	21.68%	19.76%	17.02%	15.83%	33.96%
Profit Before Tax	14,160.00	11,741.00	9,126.00	7,649.00	12,999.00

Appendix 4: Free Cash Flow (in millions of USD)

Free Cash Flow					
Year	2025	2024	2023	2022	2021
Capital Expenditure	(21,215.00)	(6,866.00)	(8,695.00)	(4,511.00)	(2,135.00)
Net cash provided by operating activities	20,821.00	18,673.00	17,165.00	9,359.00	15,887.00
Net cash used for investing activities	(21,711.00)	(7,360.00)	(36,484.00)	11,220.00	(13,098.00)
Free Cash Flow	42,532.00	26,033.00	53,649.00	(1,861.00)	28,985.00

Appendix 5: Segmented Analysis (in millions of USD)

Segmented Revenue Distribution					
KPI/YEAR	2025	2024	2023	2022	2021
Revenues:					
Cloud services and license support	44,029	39,383	35,307	30,174	28,700
Cloud license and on-premise license	5,201	5,081	5,779	5,878	5,399
Hardware	2,936	3,066	3,274	3,183	3,359
Services	5,233	5,431	5,594	3,205	3,021
Total revenues	57,399	52,961	49,954	42,440	40,479

Segmented Year on Year Growth					
KPI/YEAR	2025	2024	2023	2022	2021
Revenues:					
Cloud services and license support	11.80%	11.54%	17.01%	5.14%	4.77%
Cloud license and on-premise license	2.36%	-12.08%	-1.68%	8.87%	5.30%
Hardware	-4.24%	-6.35%	2.86%	-5.24%	-2.43%
Services	-3.65%	-2.91%	74.54%	6.09%	-2.73%
Total revenues	8.38%	6.02%	17.70%	4.84%	3.61%

Appendix 6: Raw Data (in millions of USD)

Consolidated Statement of Income/Operations					
Year	2025	2024	2023	2022	2021
Revenues:					
Cloud services and license support	44,029.00	39,383.00	35,307.00	30,174.00	28,700.00
Cloud license and on-premise license	5,201.00	5,081.00	5,779.00	5,878.00	5,399.00
Hardware	2,936.00	3,066.00	3,274.00	3,183.00	3,359.00
Services	5,233.00	5,431.00	5,594.00	3,205.00	3,021.00
Total revenues	57,399.00	52,961.00	49,954.00	42,440.00	40,479.00
Operating expenses:					
Cloud services and license support(1)	11,569.00	9,427.00	7,763.00	5,213.00	4,353.00
Hardware(1)	782.00	891.00	1,040.00	972.00	972.00
Services(1)	4,576.00	4,825.00	4,761.00	2,692.00	2,530.00
Sales and marketing(1)	8,651.00	8,274.00	8,833.00	8,047.00	7,682.00
Research and development	9,860.00	8,915.00	8,623.00	7,219.00	6,527.00
General and administrative	1,602.00	1,548.00	1,579.00	1,317.00	1,254.00
Amortization of intangible assets	2,307.00	3,010.00	3,582.00	1,150.00	1,379.00
Acquisition related and other	75.00	314.00	190.00	4,713.00	138.00
Restructuring	299.00	404.00	490.00	191.00	431.00
Total operating expenses	39,721.00	37,608.00	36,861.00	31,514.00	25,266.00
Operating income	17,678.00	15,353.00	13,093.00	10,926.00	15,213.00
Interest expense	(3,578.00)	(3,514.00)	(3,505.00)	(2,755.00)	(2,496.00)
Non-operating income (expenses), net	60.00	(98.00)	(462.00)	(522.00)	282.00
Income before income taxes	14,160.00	11,741.00	9,126.00	7,649.00	12,999.00
Provision for income taxes	1,717.00	1,274.00	623.00	(932.00)	747.00
Net income	12,443.00	10,467.00	8,503.00	6,717.00	13,746.00
Earnings per share:					
Basic	4.46	3.82	3.15	2.49	4.67
Diluted	4.34	3.71	3.07	2.41	4.55
Weighted average common shares outstanding:					
Basic	2,789.00	2,744.00	2,696.00	2,700.00	2,945.00
Diluted	2,866.00	2,823.00	2,766.00	2,786.00	3,022.00

Consolidated Statements of Cash Flows					
Year	2025	2024	2023	2022	2021
Cash flows from operating activities:					
Net income	12,443.00	10,467.00	8,503.00	6,717.00	13,746.00
Adjustments to reconcile net income to net cash provided by operating activities:					
Depreciation	3,867.00	3,129.00	2,526.00	1,972.00	1,537.00
Amortization of intangible assets	2,307.00	3,010.00	3,582.00	1,150.00	1,379.00
Deferred income taxes	(1,637.00)	(2,139.00)	(2,167.00)	(1,146.00)	(2,425.00)
Stock-based compensation	4,674.00	3,974.00	3,547.00	2,613.00	1,837.00
Other, net	667.00	720.00	661.00	220.00	(39.00)
Changes in operating assets and liabilities, net of effects from acquisitions:					
Increase in trade receivables, net	(653.00)	(965.00)	(151.00)	(874.00)	333.00
Decrease in prepaid expenses and other assets	266.00	542.00	317.00	11.00	622.00
Decrease in accounts payable and other liabilities	(608.00)	(594.00)	(281.00)	(733.00)	(23.00)
Decrease in income taxes payable	(659.00)	(127.00)	(153.00)	(398.00)	(1,485.00)
Increase in deferred revenues	154.00	656.00	781.00	7.00	405.00
Net cash provided by operating activities	20,821.00	18,673.00	17,165.00	9,359.00	15,887.00
Cash flows from investing activities:					
Purchases of marketable securities and other investments	(1,272.00)	(1,003.00)	(1,181.00)	(10,272.00)	(37,982.00)
Proceeds from sales and maturities of marketable securities and other investments	776.00	572.00	1,113.00	6,363.00	1,036.00
Acquisitions, net of cash acquired	-	(63.00)	(27,721.00)	(148.00)	(41.00)
Capital expenditures	(21,215.00)	(6,866.00)	(8,695.00)	(4,511.00)	(2,135.00)
Net cash used for investing activities	(21,711.00)	(7,360.00)	(36,484.00)	11,220.00	(13,098.00)
Cash flows from financing activities:					
Payments for repurchases of common stock	(600.00)	(1,202.00)	(1,300.00)	(16,248.00)	(20,934.00)
Proceeds from issuances of common stock	653.00	742.00	1,192.00	482.00	1,786.00
Shares repurchased for tax withholdings upon vesting of restricted stock-based awards	(900.00)	(2,040.00)	(1,203.00)	(1,093.00)	(666.00)
Payments of dividends to stockholders	(4,743.00)	(4,391.00)	(3,668.00)	(3,457.00)	(3,063.00)
Proceeds from issuances of (repayments of) commercial paper, net	1,889.00	(167.00)	500.00		
Proceeds from issuances of senior notes and term loan credit agreements, net of issuance costs	19,548.00	-	33,494.00		14,934.00
Repayments of senior notes and term loan credit agreements	(15,841.00)	(3,500.00)	(21,050.00)	(8,250.00)	(2,631.00)
Other financing activities, net	1,092.00	4.00	(55.00)	(560.00)	196.00
Net cash provided by (used for) financing activities	1,098.00	(10,554.00)	7,910.00	(29,126.00)	(10,378.00)
Effect of exchange rate changes on cash and cash equivalents	124.00	(70.00)	(209.00)	(348.00)	448.00
Net increase (decrease) in cash and cash equivalents	332.00	689.00	-11618.00	-8715.00	-7141.00
Cash and cash equivalents at beginning of period	10454.00	9765.00	21383.00	30098.00	37239.00
Cash and cash equivalents at end of period	10786.00	10454.00	9765.00	21383.00	30098.00
Non-cash investing activities:					
Unpaid capital expenditures	2970.00	1637.00	588.00	-48.00	66.00
Supplemental schedule of cash flow data:					
Cash paid for income taxes	4020.00	3560.00	3009.00	2567.00	3189.00
Cash paid for interest	3374.00	3655.00	3250.00	2735.00	2408.00

Consolidated Balance Sheets					
Year	2025	2024	2023	2022	2021
ASSETS					
Current assets:					
Cash and cash equivalents	10,786.00	10,454.00	9,765.00	21,383.00	30,098.00
Marketable securities	417.00	207.00	422.00	519.00	16,456.00
Trade receivables, net of allowances for credit losses of \$557 and \$485 as of May 31, 2025 and May 31, 2024, respectively	8,558.00	7,874.00	6,915.00	5,953.00	5,409.00
Prepaid expenses and other current assets	4,818.00	4,019.00	3,902.00	3,778.00	3,604.00
Total current assets	24,579.00	22,554.00	21,004.00	31,633.00	55,567.00
Non-current assets:					
Property, plant and equipment, net	43,522.00	21,536.00	17,069.00	9,716.00	7,049.00
Intangible assets, net	4,587.00	6,890.00	9,837.00	1,440.00	2,430.00
Goodwill	62,207.00	62,230.00	62,261.00	43,811.00	43,935.00
Deferred tax assets	11,877.00	12,273.00	12,226.00	12,782.00	13,636.00
Other non-current assets	21,589.00	15,493.00	11,987.00	9,915.00	8,490.00
Total non-current assets	1,43,782.00	1,18,422.00	1,13,380.00	77,664.00	75,540.00
Total assets	1,68,361.00	1,40,976.00	1,34,384.00	1,09,297.00	1,31,107.00
LIABILITIES AND STOCKHOLDERS' EQUITY					
Current liabilities:					
Notes payable and other borrowings, current	7,271.00	10,605.00	4,061.00	3,749.00	8,250.00
Accounts payable	5,113.00	2,357.00	1,204.00	1,317.00	745.00
Accrued compensation and related benefits	2,243.00	1,916.00	2,053.00	1,944.00	2,017.00
Deferred revenues	9,387.00	9,313.00	8,970.00	8,357.00	8,775.00
Other current liabilities	8,629.00	7,353.00	6,802.00	4,144.00	4,377.00
Total current liabilities	32,643.00	31,544.00	23,090.00	19,511.00	24,164.00
Non-current liabilities:					
Notes payable and other borrowings, non-current	85,297.00	76,264.00	86,420.00	72,110.00	75,995.00
Income taxes payable	10,269.00	10,817.00	11,077.00	12,210.00	12,345.00
Operating lease liabilities	11,536.00	6,255.00	-	-	-
Other non-current liabilities	7,647.00	6,857.00	6,469.00	5,203.00	4,787.00
Total non-current liabilities	1,14,749.00	1,00,193.00	1,09,738.00	95,554.00	1,00,991.00
Total stockholders' equity	20,969.00	9,239.00	1,556.00	(5,768.00)	5,952.00
Total liabilities and stockholders' equity	1,68,361.00	1,40,976.00	1,34,384.00	1,09,297.00	1,31,107.00